

		Defendant shall serve notice of this ruling.
13.	2024-1393091 Chambers vs. Johnson	“Chambers”)) for an order sealing the unredacted Exhibit 18 Plaintiff submits in opposition to the motion for summary adjudication filed by Defendant David Johnson (“Johnson”) and in opposition to the motion for summary adjudication filed by Defendant Adrian Dehghanmanesh (“Dehghanmanesh”) are denied. The unopposed motions by Johnson for an order sealing the unredacted Exhibit 7 submitted by Plaintiff in opposition to Johnson’s motion for summary adjudication and in opposition to Dehghanmanesh’s motion for summary adjudication are denied. Johnson’s motion for summary adjudication is DENIED. Dehghanmanesh’s motion for summary adjudication is denied. MOTIONS TO SEAL <u>Applicable legal authority</u> “A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application <i>must</i> be accompanied by a memorandum <i>and</i> a declaration containing facts sufficient to justify the sealing.” (Cal. Rules of Ct., Rule 2.551(b)(1) [emphasis added].) A copy of the record to be filed under seal must be lodged with the court when the motion or application is made, unless good cause exists for not lodging it or the record has previously been lodged under subpart (3)(A)(i). (Cal Rules of Ct., Rule 2.551(b)(4).) Pending the determination of the motion or application, the lodged record will be conditionally under seal. (<i>Id.</i>) The Court may order that a record be filed under seal only if it expressly finds facts that establish that: • there exists an overriding interest that overcomes the right of public access to the record • the overriding interest supports sealing the record • a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed • the proposed sealing is narrowly tailored • no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Ct., Rule 2.550(d).) Although a “contractual obligation not to disclose can constitute an overriding interest,” the moving party must still show prejudice will result if the document is not sealed. (<i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1283; <i>see also</i> Cal.

Rules of Ct., Rule 2.551(a) [“The court must not permit a record to be filed under seal based solely on the agreement or stipulation of the parties.”].)

The rules expressly implement the First Amendment principles espoused in *NBC Subsidiary* (i.e., California recognizes a constitutional right of access to certain court documents grounded in the First Amendment) and establish a presumption that “court records ... be open” unless the law requires confidentiality. (*Overstock.Com, Inc. v. Goldman Sachs Grp., Inc.* (2014) 231 Cal.App.4th 471, 486.)

Merits

Plaintiff did not meet his burden to show Exhibit 18 should be sealed. Johnson did not meet his burden to show Exhibit 7 should be sealed. (Cal. Rules of Ct., Rules 2.550 and 2.551.) Although both parties showed the information was designated as confidential pursuant to their stipulated protective order, that alone is not sufficient to meet their burden to show the exhibits should be sealed.

The Court notes the two exhibits include financial information that would be subject to privacy protection; however, that is not all that is required for sealing.

The Court also notes the Court did not rely upon either exhibit in making its determination on Defendants’ respective motions for summary adjudication. Unless Plaintiff advises the Court that Plaintiff no longer intends to rely on these two exhibits, the unredacted versions of Exhibits 7 and 18 will be placed in the public record.

MOTIONS FOR SUMMARY ADJUDICATION

As an initial matter, the Court notes Plaintiff represented in four separately filed notices of lodging that Plaintiff filed unredacted copies of the exhibits on April 23, 2026. However, the two sets of Appendixes of Evidence totaling four volumes for each opposition still appear to be redacted. In addition, each of the four volumes for the two sets included a caption that stated the document was “redacted materials filed conditionally under seal.” These exhibits appear identical to the redacted copies that were delivered to the Court. Plaintiff should be prepared to address whether Plaintiff filed unredacted copies as ordered by the Court on April 22, 2026, and explain why the confusing caption was included on the filings if the exhibits were not redacted.

In support of Defendants’ replies, each defendant submitted a reply separate statement. “The reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers.” (Code Civ. Proc., § 437c, subd. (b)(4).) The Court declines to consider Johnson’s reply separate statement and declines to consider Dehghanmanesh’s reply separate statement.

Plaintiff’s objected to Johnson’s separate statement and Dehghanmanesh’s separate statement. Plaintiff did not object to the evidence supporting the purported material fact. Plaintiff’s objections were improper and overruled.

The Court also notes Defendants’ motions for summary adjudication are substantively identical. (Dehghanmanesh’s Notice of Motion, ROA No. 336, i, fn. 1.) Defendants rely on the same evidence and the same purportedly undisputed material facts to support their motions.

Applicable legal authority

In both summary judgment and summary adjudication proceedings, the pleadings determine the scope of the relevant issues. (*Port Medical Wellness, Inc. v. Connecticut General Life Ins. Co.* (2018) 24 Cal.App.5th 153, 169.) The standard governing motions for summary judgment and summary adjudication is settled. “[F]rom commencement to conclusion, the party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact. . . .” (*Ibid.*) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at p. 851.) “A court identifies the issues framed by the pleadings, determines whether the moving party’s showing has established facts which negate the opponent’s claim and justify a judgment in the moving party’s favor, and if the summary judgment motion is meritorious on its face, the court will look to whether the opposition demonstrates there are triable, material factual issues.” (*Clark v. Baxter Healthcare Corp.* (2000) 83 Cal.App.4th 1048, 1054.) The opposing party must show by reference to specific facts the existence of a triable issue as to that cause of action. (*Aguilar v. Atlantic Richfield Co.*, *supra*, 25 Cal.4th at p. 850.)

“A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses,

one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).)

A cause of action cannot be established if the undisputed facts presented by the defendant prove the contrary of the plaintiff's allegations as a matter of law. (*Brantley v. Pisaro* (1996) 42 Cal.App.4th 1591, 1597.) Alternatively, a moving defendant can show that a cause of action cannot be established by submitting evidence, such as discovery admissions and responses, that plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action. (*Aguilar v. Atlantic Richfield Co.*, *supra*, 25 Cal.4th at pp. 854-855; *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 [finding moving defendant may show plaintiff's lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery]; *see Sheiding v. Dinwiddie Constr. Co.* (1999) 69 Cal.App.4th 64, 80-81 [finding Union Bank rule only applies where discovery requests are broad enough to elicit all such information].)

Once a defendant meets its prima facie showing, the burden shifts to the plaintiff to show by reference to specific facts the existence of a triable issue as to that affirmative defense or cause of action. (*Aguilar v. Atlantic Richfield Co.*, *supra*, 25 Cal.4th at p. 850.) To meet this burden, the plaintiff must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.)

Merits

Johnson's issue 1: There are no triable issues of material fact as to Chambers's Fourth Cause of Action for violation of Penal Code § 496, because Chambers cannot prove that the property in question was stolen or that Johnson concealed stolen property.

And

Dehghanmanesh’s issue 1: There are no triable issues of material fact as to Chambers’s Fourth Cause of Action for violation of Penal Code § 496, because Chambers cannot prove that the property in question was stolen or that Dehghanmanesh concealed stolen property.

Penal Code section 496, subdivision (a) provides as follows:

Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170. However, if the value of the property does not exceed nine hundred fifty dollars (\$950), the offense shall be a misdemeanor, punishable only by imprisonment in a county jail not exceeding one year, if such person has no prior convictions for an offense specified in clause (iv) of subparagraph (C) of paragraph (2) of subdivision (e) of Section 667 or for an offense requiring registration pursuant to subdivision (c) of Section 290.

A principal in the actual theft of the property may be convicted pursuant to this section. However, no person may be convicted both pursuant to this section and of the theft of the same property.

(Pen. Code, § 496, subd. (a).)

“Every person who shall feloniously steal, take, carry, lead, or drive away the personal property of another, or who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property, or who causes or procures others to report falsely of his or her wealth or mercantile character and by thus imposing upon any person, obtains credit and thereby fraudulently gets or obtains possession of money, or property or obtains the labor or service of another, is guilty of theft.” (Pen. Code, § 484, subd. (a).)

A violation of Penal Code section 496, subdivision (a) includes obtaining property by false pretenses. (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1048.)

“Proof of the crime of receiving stolen property requires establishment that the property in question was stolen, that the

defendant was in possession of it, and that the defendant knew the property to be stolen.” (*People v. Anderson* (1989) 210 Cal.App.3d 414, 420; accord, *Hueso v. Select Portfolio Servicing, Inc.* (S.D. Cal. 2021) 527 F.Supp.3d 1210, 1229, citing *Verdugo-Gonzalez v. Holder* (9th Cir. 2009) 581 F.3d 1059, 1061, citing *People v. Anderson* (1989) 210 Cal. App. 3d 414, 420 [“To state a violation of the statute, a plaintiff must plead three elements: ‘(a) the property was stolen, and (b) the defendant was in possession of it, (c) knowing it was stolen.’”].)

In a civil action, “the elements required to show a violation of section 496(a) are simply that (i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was so stolen or obtained, and (iii) the defendant received or had possession of the stolen property.” (*Switzer v. Wood* (2019) 35 Cal.App.5th 116, 126.)

The California Supreme Court noted that “not all commercial or consumer disputes alleging that a defendant obtained money or property through fraud, misrepresentation, or breach of a contractual promise will amount to a theft. To prove theft, a plaintiff must establish criminal intent on the part of the defendant beyond ‘mere proof of nonperformance or actual falsity.’ (*People v. Ashley* (1954) 42 Cal.2d 246, 264, 267 P.2d 271.)” (*Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 361-362.) Where the facts alleged show Defendants did not act innocently or inadvertently, but with careful planning and deliberation, the requisite criminal intent is shown. (*Id.*, at 362.) The CSC noted that the CSC “need not, and do not, decide whether” a showing of additional conduct is required to establish a violation of section 496, subdivision (a). (*Siry Investment, L.P. v. Farkhondehpour*, 13 Cal.5th at 351, fn. 12.)

Johnson met his initial burden to show that Plaintiff cannot show theft or criminal intent. (Johnson’s Material Fact [“JMF”] No. 1-4, 6, and 9-11.)

Plaintiff met his shifted burden and raised a triable issue as to whether Johnson coordinated with Dehghanmanesh through planning and deliberation to conceal information regarding Meridian’s finances and the distributions to the two partners. (Plaintiff’s Appendix of Evidence, Vol. 1, ROA No. 566, Exhibit 4, 76:1-17 and 201:8-14; Exhibit 5, 72:6-73:4 and 86:22-25; Exhibit 6, 186:10-190:1; Plaintiff’s Appendix of Evidence, Vol. 3, ROA No. 574, Exhibit 10, Page 496, DEHG 001805, Page 611, DEHG 001920, Page 646, DEHG 001955, and Page 825, DEHG 002314; Plaintiff’s Appendix of Evidence, Vol. 4, ROA No. 570, Exhibit 14, Page 451, DEHG 001760; Exhibit 15; Exhibit 23; and Exhibit 25.)

Accordingly, Johnson's motion as to this issue is denied.

Plaintiff's fourth cause of action alleges "Dehghanmanesh is liable for aiding and abetting Johnson's theft. He knowingly assisted Johnson's conversion duty by transferring funds to Johnson, failing to inform Chambers of the transfers, and by concealing the transfers and payments through fraudulent business records." (Complaint, ¶ 114.)

Dehghanmanesh met his initial burden to show Plaintiff cannot show theft or criminal intent by Johnson and as such, Dehghanmanesh would not be liable for aiding and abetting Johnson when no theft is shown. (Dehghanmanesh's Material Fact ["DMF"] No. 1-4, 6, and 9-11.)

Plaintiff met his shifted burden and raised a triable issue as to whether Johnson coordinated with Dehghanmanesh through planning and deliberation to conceal information regarding Meridian's finances and the distributions to the two partners. (Plaintiff's Appendix of Evidence, Vol. 1, ROA No. 580, Exhibit 4, 76:1-17 and 201:8-14; Exhibit 5, 72:6-73:4 and 86:22-25; Exhibit 6, 186:10-190:1; Plaintiff's Appendix of Evidence, Vol. 3, ROA No. 586, Exhibit 10, Page 496, DEHG 001805, Page 611, DEHG 001920, Page 646, DEHG 001955, and Page 825, DEHG 002314; Plaintiff's Appendix of Evidence, Vol. 4, ROA No. 582, Exhibit 14, Page 451, DEHG 001760; Exhibit 15; Exhibit 23; and Exhibit 25.)

Accordingly, Dehghanmanesh's motion as to this issue is denied.

Johnson's and Dehghanmanesh's issue 2: There are no triable issues of material fact as to Chambers's claim for treble damages in his Fourth Cause of Action for violation of Penal Code § 496, because his claim is barred by the one-year statute of limitations set forth in Cal. Code Civ. Proc. § 340.

Treble damages under Penal Code section 496 are not a proper matter for summary adjudication. "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense,

	a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).) Here, Johnson and Dehghanmanesh each seek summary adjudication that there is no merit to Plaintiff’s treble damages sought pursuant to Penal Code section 496, subdivision (c). Defendants are not seeking summary adjudication on a claim for damages, as specified in Section 3294 of the Civil Code. (Code Civ. Proc., § 437c, subd. (f)(1).) Accordingly, the motions are denied. The Court notes even if Defendants had properly sought summary adjudication on this issue pursuant to CCP section 437c, subdivision (t), which Defendants did not, the motion is still denied. “Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Pen. Code, § 496, subd. (c).) CCP section 338, subdivision (a) sets forth a 3-year statute of limitations for an action “upon a liability created by statute, other than a penalty or forfeiture.” (Code Civ. Proc., § 338, subd. (a).) CCP section 340, subdivision (a) provides for a 1-year statute of limitations for an action “upon a statute for a penalty or forfeiture, if the action is given to an individual, or to an individual and the state, except if the statute imposing it prescribes a different limitation.” (Code Civ. Proc., § 340, subd. (a).) “Claims based upon statutes which provide for mandatory recovery of damages additional to actual losses incurred, such as treble damages, are considered penal in nature, and thus are governed by the one-year limitations period under section 340, subdivision 1.” (<i>Menefee v. Ostawari</i> (1991) 228 Cal.App.3d 239, 243.) “Case law has consistently applied the one-year limitations period to statutes that provide for recovery of actual damages and a mandatory additional penalty.” (<i>Prudential Home Mortgage Co. v. Superior Court</i> (1998) 66 Cal.App.4th 1236, 1242.) However, not all statutorily-provided recoveries are penalties or forfeitures. (<i>Holland v. Nelson</i> (1970) 5 Cal.App.3d 308, 312-313 [Finding Civil Code section 1812.62 that allowed the Court the option of granting treble damages is not to be construed as converting the statutory right of action into one for penal damages, and providing examples of when additional recovery did not constitute a penalty or forfeiture - Fair Labor Standards Act (29 U.S.C.A., s 216, subd. (b)), a veteran’s action to recover treble damages for excess consideration charged for his home, and an action for treble damages under the Sherman Act.]) Section 496, subdivision (c) is arguably mandatory because when the Court finds there is a violation of section 496, subdivision (a) or
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(b), the plaintiff would recover treble damages. (*See, Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1045; *Switzer v. Wood* (2019) 35 Cal.App.5th 116, 126 [“All that is required for civil liability to attach under section 496(c), including entitlement to treble damages, is that a ‘violation’ of subdivision (a) or (b) of section 496 is found to have occurred.”].) However, unlike the statutes that were clearly punitive, section 496, subdivision (c) does not provide for recovery of treble damages *and* actual damages.

Our California Supreme Court explained that section 496, subdivision (c) “was designed, not solely to deter theft, but also to provide a new civil remedy to those who have been injured by a violation of the statute.” (*Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 357.) Citing to *Switzer v. Wood* (2019) 35 Cal.App.5th 116, the CSC explained:

The court in *Switzer* surmised that in light of the language chosen, the Legislature “apparently believed that *any* violation of section 496(a),” if proved, “would warrant the availability of treble damages.” (*Switzer, supra*, 35 Cal.App.5th at p. 130.) The court explained: “The creation of an enhanced civil remedy for any person injured by the theft-related criminal offenses defined in the statute is certainly not absurd or unreasonable. Considering the nature of the offense described by the statute and the apparent goal of deterring such theft-related conduct, the provision, as literally written, of an enhanced civil remedy to ‘any person’ injured by that particular offense constituted a reasonable legislative policy decision. (*Siry Investment, L.P. v. Farkhondehpour*, 13 Cal.5th at 356-357.)

The *Switzer* Court also expanded that “while deterrence of theft was one of the goals of Senate Bill No. 1068, another purpose for the proposed legislation was expressly stated in the analysis provided by the Senate Committee on the Judiciary, under the heading ‘Purpose,’ which expressed that the bill’s basic purpose was to ‘[e]stablish a civil remedy for persons who have been injured by another’s purchase, concealment, sale, or withholding of property where such person knows the property has been stolen.’ (Sen. Com. on Judiciary, Analysis of Sen. Bill No. 1068 (1972 Reg. Sess.) as amended June 26, 1972.)” (*Switzer v. Wood* (2019) 35 Cal.App.5th 116, 131-132.)

Johnson cites to two unpublished federal cases that hold the statute of limitations for treble damages under Penal Code section 496, subdivision (c). Both of the unpublished cases held “a one-year statute of limitations period applies to the claim for treble damages”

		under Penal Code section 496, subdivision (c). (<i>Tu Le v. Prestige Community Credit Union</i> (C.D. Cal., Nov. 6, 2023, No. 8:22-CV-00259-JVS (KESX) 2023 WL 9689133, at *9; <i>May v. Google LLC</i> (N.D. Cal., Nov. 4, 2024, No. 24-CV-01314-BLF) 2024 WL 4681604, at *9.) However, the <i>Tu Le</i> Court also held “the civil claim under California Penal Code § 496(c) regarding recovery for costs of suit and reasonable attorney’s fees is subject to a three-year statute of limitations.” (<i>Tu Le v. Prestige Community Credit Union</i> (C.D. Cal., Nov. 6, 2023, No. 8:22-CV-00259-JVS (KESX) 2023 WL 9689133, at *10.) The Court finds the claim is governed by the three-year statute of limitations. (<i>See, Naftzger v. American Numismatic Society</i> (1996) 42 Cal.App.4th 421, 433-434.) Neither Johnson nor Dehghanmanesh met their initial burden to show Plaintiff’s claim was barred by the applicable statute of limitations. Johnson showed Plaintiff was aware that Plaintiff’s and Johnson’s capital accounts were out of whack by March 30, 2022. (JMF No. 7 and 8; DMF No. 7 and 8.) Plaintiff commenced this action on February 29, 2024, less than two years after discovering the discrepancy. Because neither defendant did not meet his initial burden, the burden does not shift to Plaintiff to raise a triable issue of material fact. (<i>Consumer Cause, Inc. v. SmileCare</i> (2001) 91 Cal.App.4th 454, 468.) Accordingly, Defendants’ motions are denied. Plaintiff shall give notice.
14.	2025-1517586 Je Beaute, Inc. vs. Guo	<i>Continued from 5/20/26 for lack of a Mandarin interpreter.</i>